Salesforce (CRM) — FY27 Q1 Earnings Summary

Reported May 27, 2026 · Prepared by Demo (SaaS coverage) · Sources: EDGAR 8-K / Ex-99.1 (acc. 0001108524-26-000125) · transcript not provided

> **Bottom line:** Record Q1 — revenue **$11.13B (+13% Y/Y**, +12% CC), non-GAAP EPS **$3.88 (+50%)**, non-GAAP operating margin **34.8% (+250bps)**, cRPO **$33.6B (+14%)**. FY27 revenue guide midpoint **raised** to $45.9–46.2B; non-GAAP margin guide **held** at 34.3%. The catch: management **cut** FY27 operating/FCF-growth guidance to ~4–5% to absorb interest on a **$25B debt issuance funding a $25B accelerated buyback**. *No estimates/consensus were supplied for this run — the beat/miss columns are empty; YoY is the comparison.*

1. TL;DR

- **Clean operational beat on growth + margin.** Revenue +13% Y/Y (12% CC), subscription & support +14%, non-GAAP op margin +250bps to 34.8%. Demand signal solid: cRPO +14% Y/Y (13% CC).
- **GAAP EPS is flattered.** GAAP $2.42 (+52%) includes a **+$0.49** benefit from $558M of strategic-investment gains; non-GAAP $3.88 (+50%) strips most of that out — lean on non-GAAP.
- **Capital structure shifted.** $27.5B returned ($25B ASR + dividends), funded by a $25B debt raise → interest expense jumped to $317M (from $68M) and **FCF-growth guidance was cut to ~4–5%** despite record absolute FCF of $6.56B.
- **AI is the narrative.** Agentforce ARR $1.2B (+205% Y/Y), combined AI + Data 360 ARR ~$3.4B; Data 360 / Headless / Other revenue +25% Y/Y. Informatica now consolidated (~3pts of the FY guide).
- **Guidance net:** revenue raised, margin held, cash-flow lowered (financing-driven, not operational).

2. Scorecard — Actual vs My Model vs Street

Headline Scorecard

Metric	Actual	My Est	Δ vs Est	Consensus	Δ vs Cons	YoY	Read
Total Revenue	$11,133M					+13.3%	
Gross Margin	76.9%					+0.00pp	
Non-GAAP Operating Margin	34.8%					+2.50pp	
GAAP Operating Margin	21.1%					+1.30pp	
Non-GAAP Diluted EPS	$3.88					+1.30 (+50.4%)	
GAAP Diluted EPS	$2.42					+0.83 (+52.2%)	
Operating Cash Flow	$6,701M					+3.5%	
Free Cash Flow	$6,556M					+4.1%	

My Est / Consensus columns are empty — no benchmarks supplied for this run. Paste your model or Street consensus and the Δ + BEAT/MISS reads populate automatically.

Read: A high-quality top-line/margin print on a YoY basis — growth held at +13% even as Salesforce laps prior buybacks (diluted share count down to 871M from 970M, itself adding ~11% to per-share figures). Non-GAAP operating leverage (+250bps) is the standout. The only soft spot is cash flow *growth* (+3–4%), which is optics from the financing decision rather than operational weakness.

3. Financial Summary

Segment Detail

Metric	Actual	My Est	Δ vs Est	Consensus	Δ vs Cons	YoY	Read
Subscription & Support	$10,593M					+13.9%	
Professional Services & Other	$540M					+1.5%	
Agentforce Apps	$6,910M					+8.9%	
Data 360, Headless & Other	$3,683M					+24.8%	

- **Revenue:** $11.13B, +13% Y/Y (12% CC). Subscription & support $10.59B (+14%) carried the quarter; professional services flat (+1.5%). Newly-reclassified disaggregation shows the mix shift toward AI/data: **Data 360, Headless & Other +25% Y/Y** vs

Agentforce Apps +9%. Geographic CC growth balanced (Americas +11%, EU +12%, APAC +12%). Informatica added $444M to revenue.

- **Margins:** Gross margin flat at ~77%. Operating leverage drove **non-GAAP op margin to 34.8% (+250bps)** and GAAP to 21.1% (+130bps); restructuring of $80M (vs $36M) was a modest GAAP drag.
- **EPS / below the line:** Non-GAAP diluted EPS $3.88 (+50%). GAAP $2.42 (+52%) **includes +$0.49 from strategic-investment gains** ($558M) and absorbs interest expense of $317M (vs $68M). Quality of GAAP beat is low; non-GAAP is the cleaner read.
- **Cash flow & balance sheet:** Record operating cash flow $6.70B (+3%) and FCF $6.56B (+4%). Balance sheet re-levered: **noncurrent debt $39.3B (from $10.4B)**, cash $8.9B; treasury stock up to $55.0B after $27.2B of repurchases. Goodwill $59.3B post-Informatica.

4. Guidance Changes

Metric	Prior Guide	New Guide	Action
FY27 Revenue	— *(not loaded; release-only)*	$45.9 – $46.2B (+11% Y/Y)	**RAISE** (midpoint)
FY27 Subscription & Support growth	—	slightly under 12% Y/Y	**MAINTAIN**
FY27 Non-GAAP Operating Margin	—	34.3%	**MAINTAIN**
FY27 GAAP Operating Margin	—	20.6%	**UPDATE**
FY27 Non-GAAP Diluted EPS	—	$14.06 – $14.12	**UPDATE**
FY27 Op. Cash Flow / FCF growth	—	~4% – 5% Y/Y	**CUT**
Q2 FY27 Revenue	n/a	$11.27 – $11.35B (+10–11% Y/Y)	**INITIATE**
Q2 FY27 Non-GAAP Diluted EPS	n/a	$3.25 – $3.27	**INITIATE**
Q2 FY27 cRPO growth	n/a	~14% (~13% CC)	**INITIATE**

Read: Salesforce raised the FY27 revenue midpoint to $45.9–46.2B (+11% Y/Y, ~3pts Informatica) while holding non-GAAP operating margin at 34.3% and sub & support growth at slightly under 12%. The one clear cut: **FY27 operating and free-cash-flow growth guidance was lowered to ~4–5%** to absorb higher interest expense from the $25B debt issuance that funds the accelerated buyback. Management framed FY27 as a second-half organic-acceleration story and reiterated FY30 targets. *(Prior-quarter guide not loaded in release-only mode — point the skill at the Q4 FY26 8-K to fill the "Prior Guide" column.)*

5. Key KPIs (Demo (SaaS coverage)'s tracked fields)

Key KPIs

Metric	Actual	My Est	∆ vs Est	Consensus	∆ vs Cons	YoY	Read
cRPO	$33,600M					+13.5%	
RPO	$67,900M					+11.5%	

Read: cRPO — the cleanest forward-demand signal — grew +14% Y/Y reported (13% CC), in line with the ~14% Q2 guide; total RPO +11% to $67.9B. Both are inflated modestly by Informatica; watch the organic cRPO trajectory as the key tell on whether the "second-half acceleration" thesis is tracking.

6. Management Commentary (from release; transcript not provided)

Release-only run — the earnings-call Q&A was not ingested. The executive quotes below are from the press release.

- **Record quarter / AI positioning** — *"This was an outstanding quarter for Salesforce — record revenue, record deals, and cash flow. Agentic AI is the biggest growth opportunity for our customers, and for Salesforce. … With more than $1 billion in Agentforce ARR, $3.4 billion in combined AI and data ARR, and 3.8 billion Agentic Work Units delivered for our customers, Salesforce has never been more essential."* — Marc Benioff, Chair & CEO
- **Second-half acceleration / FY30** — *"We remain confident in delivering organic revenue acceleration in the second half of FY27, driven by growth in Sales, Service, Slack, Agentforce, and Data 360. We are executing against our profitable growth framework and remain on track to deliver on our FY30 targets while maximizing shareholder value."* — Robin Washington, President & CFO/COO

7. Watch Items & Thesis Impact

- **Organic vs acquired growth** — ~3–4pts of reported growth is Informatica. Track *organic* cRPO/revenue to judge the underlying demand trend management is leaning on for the 2H acceleration call.
- **GAAP earnings quality** — the +$0.49 strategic-investment gain is non-operating and volatile; don't extrapolate the +52% GAAP EPS.
- **Leverage & interest** — debt-funded ASR pushed interest expense to $317M/qtr and cut FCF-growth guidance; the buyback flatters per-share metrics while the income statement now carries the cost.
- **Margin guide held, not raised** — despite the Q1 non-GAAP margin strength, FY non-GAAP margin guidance was only maintained at 34.3% — watch for conservatism vs. 2H mix/investment.
- **Thesis impact:** *Incrementally positive operationally* (durable ~12% CC growth, +250bps margin, accelerating AI/Data ARR), but the *financial profile is more levered* and GAAP optics are noisier. Net: a strong fundamental print; the debate shifts to organic durability and capital-allocation discipline.

Notable items

- Returned **$27.5B** to shareholders ($27.1B buybacks + $365M dividends); entered a **$25B accelerated share repurchase** (103M shares upfront, ~80%; final settlement Q3 FY27).
- ASR funded by a **$25B debt issuance** → noncurrent debt $39.3B (from $10.4B), interest expense $317M (from $68M) — the driver of the FY27 OCF/FCF-growth guide cut.
- **GAAP EPS included +$0.49** from $558M strategic-investment gains (vs $(0.05) drag Y/Y).
- **Informatica** consolidated: +$444M revenue (+$428M sub & support), ~$1.1B Informatica Cloud ARR; goodwill $59.3B.
- Revenue disaggregation revised to **Agentforce Apps** ($6.91B) and **Data 360, Headless & Other** ($3.68B, +25% Y/Y); **Agentforce ARR $1.2B, +205% Y/Y**.

Beat/miss bands: ±2.0% (revenue/$ metrics), ±$0.02 (EPS), ±0.5pp (rates). Verdicts measured vs consensus. No benchmarks supplied this run — ∆/Read columns blank pending model/consensus input.